MONEY AND YOU

UNTRUSTWORTHY WITH MONEY

Personal finance is a deep, serious topic that requires a lot of decision-making. Do not trust people to make financial decisions for you too easily



Illustration by **SIDDHANT JUMDE**

You listen to a finfluencer or hear someone trot out financial jargon about how you can create wealth, and you are drawn in. The internet is a great place to learn new things, but it is also filled with misinformation. None of us has time to read the disclaimer that may be issued, and even when legitimate people speak, they usually address a broad audience with general information. Personal finance is personal, and your situation is unique. Even when you visit a bank or meet an intermediary who sells financial instruments, you could easily be influenced and trust their advice.

Our lack of understanding of basic personal finance issues puts us at a disadvantage—often we want to trust someone who sounds confident and seems to know what to do. So, it is natural to rarely question the expertise or experience of intermediaries, or even bank employees. Financial advisors and salespeople present themselves as experts, and they want to tell you what you want to hear so you will buy their product.

Many young Indians who otherwise make decisions about what to study and where to work tend to look up to their father for financial decisions. The parent's competency or success at managing finances doesn't come into question, because there is a blind trust that the parent will have their best interests at heart. However, the personal finance space is constantly evolving, and not all parents can be fully aware of these changes and how they could affect their decisions on your behalf.

It is exciting to get good financial advice from an expert. Take, for instance, investing through SIPs in mutual funds. Search the topic, and you will be inundated with information promising the sure-shot way to wealth creation. However, it takes time to understand how your money fares when you invest in a mutual fund. Mutual funds come in different types, carry different risks, and suit different time frames. It looks easy to invest Rs 15,000 a month for 15 years and reach Rs 1 crore with 15 per cent returns. However, it may not always work this way, because the example assumes the fund will earn 15 per cent returns.

GETTING WHAT YOU THINK IS GOOD ADVICE CAN BE EXCITING. BUT TAKE YOUR TIME BEFORE TRUSTING SOMEONE AND PARTING WITH YOUR MONEY

Whether you're calculating the life or health insurance you need, or a corpus for a comfortable retirement, or other financial goals such as a home, or a child's education, there is a tool and a calculator for it. These tools make it seem like we can meet all our financial needs. Getting what you think is good advice can be exciting. Real people have achieved the outcomes they aimed for, and it is natural to want to apply the same strategy.

If you don't know exactly what you're doing or why, that strategy probably won't work for you. You need to gather the facts before you commit to someone's financial advice. Get comfortable saying you need to understand and discuss with family before deciding. Take your time before parting with your hard-earned money. Don't rush into financial decisions, especially by blindly trusting someone. ■

—Narayan Krishnamurthy